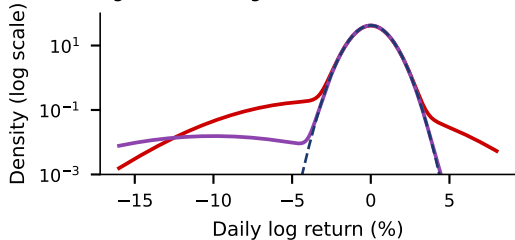
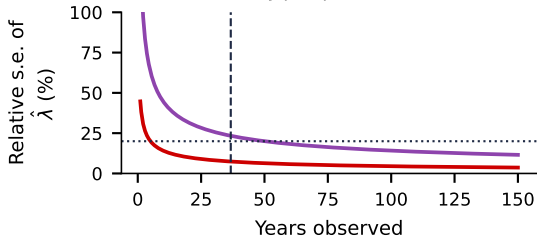


Frequent modest jumps
against rare large ones



- A7: $\lambda = 5$, $\mu_j = -3\%$, $\sigma_j = 4\%$
- A8: $\lambda = 0.5$, $\mu_j = -10\%$, $\sigma_j = 5\%$
- - No jumps: $\sigma = 15\%$

Even with every jump observed



- $\lambda = 5$ per year
- $\lambda = 0.5$ per year
- 20% relative s.e. S&P 500 sample, 36.7 years